

it can be recorded online on the blockchain, thus keeping the authenticity clear.

One of the benefits of NFTs is the real-world impact it has on artists. Artists can now mint (tokenise) their artwork on a network and bypass the galleries and companies that normally take a large percentage of the sale price. It should not be brushed over that NFTs have opened up a great way for artists in emerging countries to make a living for themselves. One of the benefits of NFTs to artists is that artists can continue to earn royalties even when the NFT is sold between customers; an artist continues to earn a 2 per cent cut from each future transaction.

These are what I like to refer to as aesthetic NFTs. They support artists but, besides this, they have no real-world implication. When you invest in an NFT project like this, you are basing your investing decision on the highly speculative idea that someone else will value the artwork to be worth more, and thus buy it off you for more, giving you a profit.

There are some useful NFTs out there. Useful NFTs are those that have some real-world implication and are probably the only NFTs worth your time if you're looking to make money from them.

Think of things like NFTs that can be used to purchase tickets for live events. They allow users to get verified and get opportunities for extras such as access to interviews, bonus music downloads and backstage passes.

Ticketmaster and the National Football League in the US recently decided to offer NFTs on special game passes, embracing the value the new technology can provide.

The issue with NFTs is that, unlike investing in companies where the intrinsic value is based off the company's products, management and revenue, the value of NFTs is entirely speculative. When an investment's value is solely based on what the next person is willing to pay for it, the power lies with the people. Making money from an NFT can be lucrative if you buy low and sell high, but it's a bit like a hot potato — you don't want to be the last person standing holding a US\$10 000 NFT that no-one is interested in buying.
